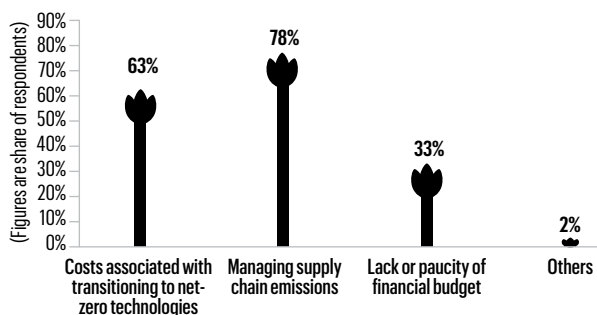


Sustainability. This term and its practice is increasingly heard across boardroom discussions, quarterly earnings calls and global impact reports. Although India ranks third globally in terms of greenhouse gas emissions, sustainability has gained prominence due to the changing macroeconomic and geopolitical environment, and regulatory pressures. Organisations across sectors are feeling the effects of climate change. Recognising the critical nature of this issue, markets regulator Sebi has also mandated that the top 1,000 companies by market capitalisation switch to its new Business Responsibility and Sustainability Reporting framework. We assess India Inc.'s readiness:

By **RAHUL OBEROI**
Graphics by **RAJ VERMA**

PAIN POINTS

POTENTIAL CHALLENGES THAT MAY PREVENT BUSINESSES FROM REACHING THEIR NET-ZERO ENERGY TARGETS

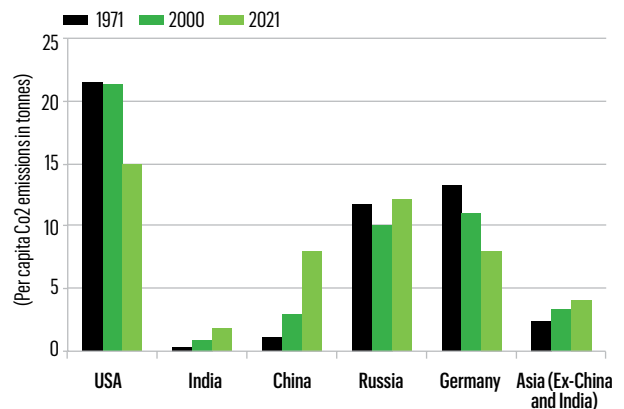


Note: The survey covers leaders and CXOs of 150 global companies, of which more than 70 per cent are listed in India

Source: Deloitte India's ESG preparedness survey report, May 2023

A BURNING ISSUE

CO₂ EMISSIONS PER PERSON IN INDIA HAVE BEEN ON THE RISE IN RECENT DECADES, MIRRORING TRENDS SEEN IN CHINA AND RUSSIA

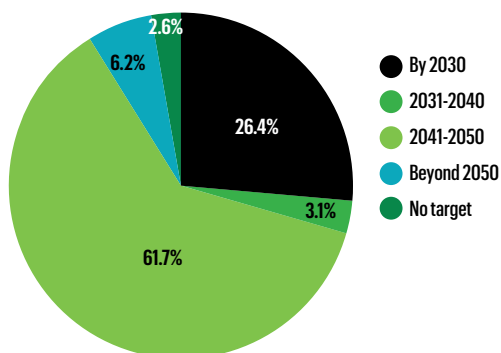


Source: OWID

A LONG WAY TO GO

A MAJORITY OF COUNTRIES AIM TO ACHIEVE THEIR NET-ZERO TARGETS ONLY BY 2050

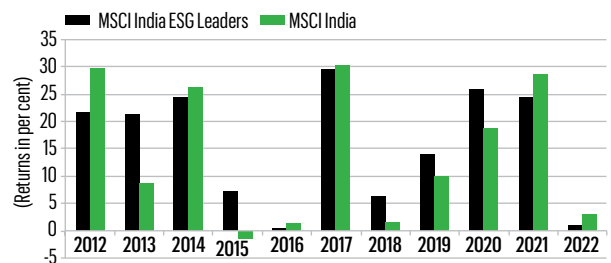
(Target year of net-zero commitment by countries)



Source: Net Zero Tracker

RETURNS ROSTER

YOUR INVESTMENTS IN ESG FUNDS MAY OR MAY NOT OUTPERFORM TRADITIONAL EQUITY INDICES



Note: The MSCI India ESG Leaders Index is a capitalisation weighted index that provides exposure to companies with high ESG performance relative to their sector peers. MSCI India ESG Leaders Index consists of large- and mid-cap companies in Indian markets. The Index is designed for investors seeking a broad, diversified sustainability benchmark with relatively low tracking error to the underlying equity market. The index is a member of the MSCI ESG Leaders Index series. Source: MSCI

13.7
times

RISE IN PER CAPITA CO₂ EMISSIONS TILL 2021 TO 1.93 TONNE FROM 0.14 TONNE AT THE TIME OF INDIA'S INDEPENDENCE IN 1947, ACCORDING TO OUR WORLD IN DATA

70
per cent

CONTRIBUTION OF POWER, STEEL, CEMENT AND AGRICULTURE SECTORS TO CARBON EMISSIONS IN INDIA, ACCORDING TO DELOITTE

83
per cent

OF RESPONDENTS CONSIDER CLIMATE CHANGE AND GLOBAL WARMING TO BE AN ISSUE FOR BOARDROOM DISCUSSIONS, PER THE DELOITTE SURVEY